EXECUTIVE SUMMARY

1. Introduction

The Municipality of Claveria, Cagayan was created by virtue of Royal Decree of Spain on June 5, 1865. It is a third class municipality situated on the northwestern coast of the Province of Cagayan.

The audit covered the accounts and operations of the Municipality of Claveria for the year 2017 and was aimed at determining whether management presented fairly the financial statements of the Municipality in adherence to the Philippine Public Sector Accounting Standards, whether prevailing laws, rules and regulations have been complied with and funds were utilized in the most efficient, effective and economical manner. Financial, compliance and performance audit were conducted to achieve these audit objectives.

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2. Highlights of Financial Information

The table below shows that the Municipality's Assets, Liabilities and Government Equity as of December 31, 2017, were P221,520,964.36, P57,392,164.80, P164,128,799.56, with an increase of 12.45%, 4.58% and 15.49%, respectively from last year's figures.

On the other hand, income earned and expenses incurred during the year amounted to P115,409,359.44 and P89,949,370.80, which increase by 7.52% and 8.53% respectively from last year's figures.

	2017	2016	Increase(Decrease)	
			Amount	%
Financial Position				
Assets	221,520,964.36	196,994,225.49	24,526,738.87	12.45
Liabilities	57,392,164.80	54,880,783.70	2,511,381.10	4.58
Govt. Equity	164,128,799.56	142,113,441.79	22,015,357.77	15.49
Financial Performance				
Income	115,409,359.44	107,334,844.63	8,074,514.81	7.52
Expense	89,949,370.80	82,883,313.46	7,066,057.34	8.53
Appropriations, Allotments and Obligation				
Appropriations	202,098,358.50	165,488,904.16	36,609,454.34	22.12
Allotments	202,098,358.50	165,488,904.16	36,609,454.34	22.12
Obligations	155,451,137.71	101,476,329.75	53,974,807.96	53.19

Comparative Statement of Funds Transfer to and from NGA's, NGO's and PO's.

	2017	2016	Increase/(Decrease)
Fund Transferred to Other Agencies:			
Due from NGAs	-	-	-
Due from GOCCs	14,220.03	14,220.03	-
Due from LGUs	34,692.06	13,903.56	20,788.50
Due from NGOs/POs	-	-	-
Others	-	-	-
TOTAL	-	-	20,788.50
Fund Received from Other Agencies:			
Due to Other NGAs	13,972,056.97	14,894,095.89	922,038.92
Due to LGUs	2,703,806.88	2,834,976.55	131,169.67
Due to GOCCs	-	-	-
Others	805,884.43	179,463.38	(626,421.05)
TOTAL	17,481,748.28	17,908,535.82	426,787.54

3. Independent Auditor's Report on the Financial Statements

We rendered an unqualified opinion on the fairness of presentation of the agency's financial statements of the Municipality of Claveria as at December 31, 2017.

4. Summary of Significant Audit Observations and Recommendations

1. Local Access Roads projects funded by FY 2017 LGSF-ADM Program were not fully compliant with the policy guidelines and procedures provided under DILG DBM Joint Memorandum Circular No. 2017-03 dated May 23, 2017.

   We recommended that Management closely monitor and supervise the implementation of the project in accordance with contract plans and specifications. Projects signboard must be installed at project location in accordance with COA Circular No. 2013-004 dated January 30, 2013. Close coordination with the DILG (MLGOO) must be taken to ensure compliance with the policy and guidelines of DILG-DBM JMC No. 2017-03.

2. Special Educational Fund for CY 2017 amounting to P1,800,000.00 has not include allocations for Early Childhood Care and Development (ECCD) programs and activities, which is not consistent with Section 7 (b) of Republic Act No. 10410 dated March 26, 2013, thereby depriving children from age zero (0) to four (4) of additional projects that would promote their welfare and development.

   We recommended that Management through the Local School Board include programs, projects and activities for Early Childhood Care and Development

(ECCD) in the Annual Budget of Special Education Fund in adherence to Section 7(b) of Republic Act No. 10410.

Initiate appropriate actions in case of delay/negative slippage in the implementation of the project including the imposition of liquidated damages, if warranted.

3. Income from market operations could have been significantly increased had the municipality executed contracts and fully leased their market stalls in consonance with Municipal Ordinance No. 10 s. 2014 or the Municipal Market Code of Claveria, Cagayan.

   We recommended that Management execute Contract of Lessee with all existing lessees occupying the market stalls in consonance with Municipal Market Code. Advertise the vacant stalls, accept new lessees, and continuously monitor the payment of rental fees including the enforcement of penalties/surcharge on late payment. Additional funds be also provided for repairs and maintenance of the establishment to improve its appearance and attract potential customers and prospective lessees.

4. The municipality paid wages amounting to P2,665,818.00 in hiring an average of Forty Seven (47) contractual and job order personnel without clear and written Policy Guidelines in hiring or engaging their services, which may result to excessive workforce, work duplication and eventual waste of financial resources.

   We recommended that Management formulate a Policy Guidelines in hiring contractual/job order employees, taking into consideration the necessity as to the reasonable number of contractual/job order employees to be assigned in different offices in order to avoid excessive manpower, work duplication and expenses for wages.

   Ensure that the policy guidelines formulated does not, in any way, restrict the manpower requirements needed in the delivery of vital services for the implementation of the various programs and activities of the municipality and will promote optimum utilization of financial resources.

5. Summary of Total Suspensions, Disallowances and Charges

Settlement of Suspensions and Disallowances is shown on table below:

Particulars	Beginning Balance	Issued During the Year	Settlement During the Year	Ending Balance	% of Settlement
Suspensions					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	
Disallowances					
Prior Years	706,935.61	-	172,496.36	534,439.25	24%
Current Year	-	-	-	-	
Total	706,935.61	-	172,496.36	534,439.25	24%
Charges					
Prior Years	-	-	-	-	
Current Year	-	-	-	-	
Total	-	-	-	-	

6. Status of Implementation of Prior Year's Audit Recommendations

Out of the nine (9) audit recommendations of prior year's report, five (5) were fully implemented, two (2) partially implemented and two(2) were not implemented as at year ended.